The Plan targets a growth rate of 10 per cent and emphasises the idea of ‘inclusive growth’. In the approach Paper, the Planning Commission shows its concern regarding realising the growth targets on account of the compulsions towards the Fiscal Responsibility and Budget Management Act. In recent times some aberrations in the economy have started to increase the Government concerns in meeting the Plan target of 10 per cent growth. The major concerns are:

(i) A higher inflation (above 6 per cent) led to the tightening of the credit policy forcing lower investment in the economy (which will lower the production);

(ii) A stronger rupee is making export earnings shrink fast;

(iii) Costlier foodgrains and other primary articles playing havoc for the poor masses;

(iv) Costlier oil prices becoming a burden for the national exchequer; etc.

Not only the Government but the Confederation of Indian industry (CII) as well as the World Bank expressed doubt in the Eleventh Plan realising the ambitious 10 per cent growth.

Eleventh Plan: Performance

The Planning Commission (PC) had attempted the mid-term appraisal of the Plan which was considered and approved by the National Development Council in July 2010. The appraisal document reviewed the developments and provided a comprehensive assessment of the performance of the economy during the Eleventh Plan period so far in different sectors, together with suggested mid course corrections. It has drawn attention to the problems in some selected areas and identified constraints that would be of relevance for the balance period of the Eleventh Plan and also for the Twelfth Plan. These include inter-alia:

(i) Restoring dynamism in agriculture,

(ii) Managing India’s water resources,

(iii) Problems in achieving power generation targets,

(iv) Issues pertaining to urbanisation, and